discretionary items. Data is critical for both AI and building a basic electronic distribution business.

By choosing to define private data very broadly and placing major restrictions on the use of critical and non-critical personal data (expanded to even non-personal data in the recommendations of the Parliamentary Committee on the data privacy law), India has not only restricted global businesses from investing in the country but also, by default, excluded Indian businesses from building global businesses using the data of their people. The same is the case with localization.

First, RBI created a very inward-looking and restrictive data localization policy for the entire payment space (nothing happens in the distribution business if payments cannot be made effortlessly). And then the Department of Industrial Policy and Promotion came up with a poorly drafted and deeply flawed data policy as part of the e-commerce policy. Later, this entire approach was embedded in the draft Data Protection Law.

If India is to have a good shot at the export of distribution services and our entrepreneurs to dream of building global digital distribution businesses, we will have to junk the approach of favouring only a platform model of e-commerce and adopt a more open data privacy and data localization policy.

Financial Services Have Remained Neglected

With a share of 18.6 per cent, financial services is the second largest component of export of global services, amounting to earnings of nearly $2.5 trillion in 2017. Global integration of finance and financial services riding on the back of technology (fintech) is providing a major fillip to financial services business and exports. Financial services have been primarily delivered for many decades by the establishment of branches and subsidiaries abroad. This is now being threatened by digital platforms.